FREE FINANCING GUIDE

Affordable & Community Development Financing Guide

Why 2026 Brought the Biggest Structural Expansion to LIHTC in Years, What the Market Looks Like Now, and the Metrics That Drive Approvals

Prepared by K2 Commercial Finance

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Why Affordable & Community Development Financing Is a Genuine Tool for Mission-Driven Sponsors

Affordable and community development financing exists to make projects viable that conventional market-rate underwriting can't support on its own — projects with restricted rents, layered subsidies, and a public purpose. 2026 brought the most significant structural expansion to this category in years, with permanent legislative changes unlocking meaningfully more capacity, even as the resulting supply-demand shift has created new friction of its own.

- **LIHTC allocations just got a permanent boost.** The One Big Beautiful Bill Act (OBBBA), signed July 2025, permanently increased each state's 9% LIHTC allocation by 12% starting in 2026 — a durable expansion of the primary tool for new affordable construction.
- **The bond financing threshold for 4% deals dropped sharply.** The private-activity bond test for 4% LIHTC rehabilitation and acquisition deals fell from 50% to 25% of project costs for buildings placed in service after 2025, unlocking financing for many more projects with the same bond volume.
- **Agency capacity for affordable lending expanded meaningfully.** Fannie Mae and Freddie Mac's LIHTC investment caps doubled from $1 billion to $2 billion each annually, and their overall multifamily volume caps rose to $88 billion each for 2026, up 20% from 2025.
- **Debt spreads have compressed.** Spreads on affordable housing debt have tightened by more than 100 basis points since mid-2024, improving liquidity even as base rates remain elevated.
- **Lending volume is already responding.** The top 25 affordable housing lenders originated $72.2 billion in permanent and construction loans in 2025, up from $60.1 billion in 2024, and lenders expect elevated activity to continue through the rest of 2026.

That said, the expansion has created its own friction. Tax credit pricing has softened — 9% credits averaged 84 cents per dollar in Q4 2025, down from 87.2 cents in Q4 2024 — and most syndicators expect prices to hold steady or decline further in the first half of 2026. The surplus of newly eligible 4% deals created by the lower bond test is also outpacing available bond volume in some markets, creating a real financing gap for sponsors without strong existing relationships.

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2026 Market Outlook for Affordable & Community Development Financing

Affordable and community development financing enters 2026 with genuinely expanded structural capacity, alongside new friction from the pace of that expansion. The following figures outline where the market stands:

- LIHTC 9% allocations increased permanently by 12% starting in 2026 under the One Big Beautiful Bill Act, and Novogradac estimates the combined expansion (allocation increase plus the bond test change) could finance roughly 1.22 million additional affordable rental homes from 2026 through 2035.

  Source: Arbor, LIHTC Increase Set to Support Affordable Housing Expansion in 2026

- The private-activity bond test for 4% LIHTC deals dropped from 50% to 25% of project costs for buildings placed in service after 2025 — a structural change expected to significantly expand the number of projects that can access 4% credits with the same bond volume.

  Source: Arbor, 2026

- Tax credit pricing has softened as supply expands faster than investor demand: 9% credits averaged 84 cents per dollar in Q4 2025 (down from 87.2 cents in Q4 2024), and 41% of syndicators surveyed expect further declines in the first half of 2026, with none forecasting increases.

  Source: Housing Finance, Syndicators Enter 2026 With Cautious Optimism

- Agency capacity for affordable lending expanded significantly: Fannie Mae and Freddie Mac can each now invest up to $2 billion annually in LIHTC properties (up from $1 billion), with 50% of that funding reserved for underserved markets and at least 20% for rural Duty to Serve areas; their overall multifamily volume caps rose to $88 billion each for 2026, a 20% increase over 2025.

  Source: Arbor; Housing Finance, 2026

- Debt market conditions have improved even as base rates stay elevated: spreads on affordable housing debt have compressed by more than 100 basis points since mid-2024, improving liquidity, though rate cuts many lenders had anticipated have not materialized.

  Source: Housing Finance, Lending Momentum Builds for 2026

- Overall lending volume is already responding to the expansion: the top 25 affordable housing lenders originated $72.2 billion in permanent and construction loans in 2025 (up from $60.1 billion in 2024), and lenders broadly expect elevated activity to continue through the rest of 2026.

  Source: Housing Finance, 2026

Bottom line for 2026: Affordable and community development financing enters 2026 with genuinely expanded capacity — a permanent 12% increase in 9% LIHTC allocations, a much lower bond test for 4% deals, and doubled agency LIHTC investment caps are all real, durable structural changes, not temporary incentives. But the expansion has created

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Critical Metrics for Affordable & Community Development Financing

Lenders and agencies in this category underwrite compliance and long-term viability as closely as the deal's immediate numbers. The following metrics most often determine whether a request moves forward:

1. **Sponsor Experience with Affordable/Tax-Credit Transactions**
   Track record executing compliance-heavy, layered-capital-stack deals — inexperience here is one of the fastest ways a file stalls.

2. **Capital Stack Completeness**
   Term sheets or firm commitments for tax credits, bonds, and soft debt, since senior debt is only one piece of a more complex structure.

3. **Tax Credit Pricing**
   The price investors will pay per dollar of allocated credit directly affects how much equity a project can raise. **84¢ per dollar (9% credits, Q4 2025); softening expected through H1 2026**

4. **Private-Activity Bond Financing Threshold (4% Deals)**
   The share of project costs that must be financed with bonds to access 4% credits, recently reduced. **25% of project costs (buildings placed in service after 2025); down from 50%**

5. **Agency LIHTC Investment Capacity**
   Total capacity Fannie Mae and Freddie Mac can deploy into LIHTC properties annually. **$2B per GSE annually; $88B overall multifamily volume cap per GSE for 2026**

6. **Debt Spread Environment**
   Pricing on affordable housing debt relative to base rates, which has improved even as base rates stay elevated. **100+ basis points tighter since mid-2024**

7. **Long-Term Operating Viability Under Restricted Rents**
   Whether the project's operating projections genuinely hold up over the compliance period given the income and rent restrictions in place.

These metrics form the practical filter that separates affordable and community development financing requests that get funded from those that stall in underwriting.

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Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders and agencies, confirm:

- [ ] Detailed project budget and sources & uses (including all subsidies) are organized
- [ ] Sponsor track record with affordable or tax-credit transactions is documented
- [ ] Term sheets or commitments for tax credits, bonds, or soft debt are gathered
- [ ] Market study or demand analysis appropriate to the restricted rents is prepared
- [ ] Operating projections under income and rent restrictions are current
- [ ] Property condition and capital needs assessment is complete (for existing assets)
- [ ] Organizational documents and nonprofit or mission-related status are prepared (if applicable)
- [ ] Compliance and regulatory background information is gathered

Common Reasons Affordable & Community Development Financing Requests Underperform or Get Declined

- Incomplete capital stack (missing tax credit, bond, or soft debt commitments)
- Insufficient sponsor experience with affordable or tax-credit transactions
- Unrealistic operating projections under restricted rents
- Weak or incomplete compliance and regulatory documentation
- Undisclosed property condition or capital needs issues on preservation deals

Final Perspective

Affordable and community development financing in 2026 sits at a genuine inflection point — permanent legislative changes have expanded LIHTC allocations and lowered the bond test for 4% deals, and agencies have meaningfully increased their affordable housing capacity. But the pace of that expansion has outrun investor demand for tax credits in the near term, which means the sponsors who capture the new volume are the ones with complete capital stacks and demonstrated compliance track records, not just a qualifying project.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. An incomplete capital stack, insufficient sponsor experience, and operating projections that don't hold up under restricted rents are among the most common reasons otherwise solid affordable and community development requests lose time, money, and momentum.

YOUR NEXT STEP

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